Type MS · Naming and describing the accounting concepts

Answer 1 of 12 · Question 13 part a · 3 marks

2025 JUN · Paper 01 · find part a in this mark scheme extract

13 (a) **Award marks as indicated.**

Description	Accounting concept
Low-value items do not need separate recording.	Materiality **(1)**
Only items that can be measured in money should be recorded in the business records.	Money measurement **(1)**
The business is treated as being completely separate from the owner of the business.	Business entity (**1**)

(3)

Question Number	Answer	Marks
13 (b)	**Award marks as indicated.**	

Description	Principle of professional ethics
Accountants must be free from bias/conflict of interest.	Objectivity **(1)**
Accountants must operate in a straightforward/honest manner.	Integrity **(1)**

(2)

TOTAL FOR QUESTION 13 = 5 MARKS

Type MS · Naming and describing the accounting concepts

Answer 2 of 12 · Question 17 part c · 6 marks

2021 NOV · Paper 01 · extract 1 of 2 · find part c in this mark scheme extract

17 (a)

Award marks as indicated for correct amounts. Award 1 mark for all correct dates and labels.

Rent Payable Account

Date	Details	$	Date	Details	$
2019 Nov 1	Bank	1 200	2019 Oct 1	Balance b/d	300 **(1)**
2020 Jan 1	Bank **(1 for all)**	1 800	2020 Sep 30	Income statement	3 600 **(1of)**
Jul 1	Bank	1 800		Balance c/d	900
		4 800			4 800
Oct 1	Balance b/d	900 **(1of)**			

(5)

Question number	Answer	Mark
17(b) (i)	**Award marks as indicated.** Current liabilities/Other payables. **(1)** One month's rent was owing at 30 September 2019. **(1)** **Accept any other appropriate responses.**	**(2)**

Question number	Answer	Mark
17(b) (ii)	**Award marks as indicated.** Current assets/Other receivables. **(1)** Three months' rent was paid in advance at 30 September 2020. **(1)** **Accept any other appropriate responses.**	**(2)**

Type MS · Naming and describing the accounting concepts

Answer 2 of 12 · Question 17 part c · 6 marks

2021 NOV · Paper 01 · extract 2 of 2 · find part c in this mark scheme extract

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>17(c)</td><td>
Award one mark for each correct accounting concept up to a maximum of 3 marks and one mark for each correct description up to a maximum of 3 marks
<table>
<tr><th>Accounting concepts</th><th>Description</th></tr>
<tr><td>Accruals (1)</td><td>Costs and revenues are matched to the same accounting period. (1)</td></tr>
<tr><td>Business entity (1)</td><td>The expenditure incurred by the business is separate to that of the business owner. (1)</td></tr>
<tr><td>Consistency (1)</td><td>A business should continue to use the same accounting procedures every year. (1)</td></tr>
<tr><td>Materiality (1)</td><td>Items of very low value are not recorded separately. (1)</td></tr>
<tr><td>Money measurement (1)</td><td>A business only records transaction that have a monetary value. (1)</td></tr>
<tr><td>Prudence (1)</td><td>A business should not overstate its profits or the value of its assets. (1)</td></tr>
</table>
Accept any other appropriate responses
</td><td>(6)</td></tr>
</table>

TOTAL FOR QUESTION 17 = 15 MARKS

Type MS · Naming and describing the accounting concepts

Answer 3 of 12 · Question 7 part whole · 1 mark

2022 JUN · Paper 01 · find part whole in this mark scheme extract

7	**C**	**Money measurement**	**(1)**

Type MS · Naming and describing the accounting concepts

Answer 4 of 12 · Question 9 part whole · 1 mark

2024 JUN · Paper 01 (regional R) · find part whole in this mark scheme extract

9	A **Business entity**	(1)

Type MS · Naming and describing the accounting concepts

Answer 5 of 12 · Question 6 part whole · 1 mark

2024 JUN · Paper 01 · find part whole in this mark scheme extract

6	**C Going concern**	**(1)**

Type MS · Naming and describing the accounting concepts

Answer 6 of 12 · Question 7 part whole · 1 mark

2024 JUN · Paper 01 · find part whole in this mark scheme extract

7	**D Prudence**	**(1)**

Type MS · Naming and describing the accounting concepts

Answer 7 of 12 · Question 9 part whole · 1 mark

2024 NOV · Paper 01 · find part whole in this mark scheme extract

9	**B Consistency**	**(1)**

Type MS · Naming and describing the accounting concepts

Answer 8 of 12 · Question 9 part whole · 1 mark

2025 JUN · Paper 01 (regional R) · find part whole in this mark scheme extract

9	**A Business entity**	**(1)**

Type MS · Naming and describing the accounting concepts

Answer 9 of 12 · Question 4 part whole · 1 mark

2025 JUN · Paper 01 · find part whole in this mark scheme extract

4	**D Prudence**	**(1)**

Type MS · Naming and describing the accounting concepts

Answer 10 of 12 · Question 7 part whole · 1 mark

2019 JUN · Paper 01 · find part whole in this mark scheme extract

7	**B** Materiality	**(1)**

Type MS · Naming and describing the accounting concepts

Answer 11 of 12 · Question 2 part whole · 1 mark

2020 NOV · Paper 01 · find part whole in this mark scheme extract

2	**The only correct answer is B - Confidentiality** A is not correct because Business entity is an accounting concept C is not correct because Consistency is an accounting concept D is not correct because Materiality is an accounting concept	**(1)**

Type MS · Naming and describing the accounting concepts

Answer 12 of 12 · Question 2 part c · 2 marks

2023 JAN · Paper 02 · extract 1 of 3 · find part c in this mark scheme extract

2(a)(i)	**Award marks as indicated.** $178 750 **(3) W** **W** **$** 167 650 (21 400) **(1)** 32 500 **(1)** 178 750 **(1of)**	**(3)**

Question number	Answer	Mark
2(a)(ii)	**Award marks as indicated.** $90 000 **(3) W** **W** **$** 92 750 (15 500) **(1)** 12 750 **(1)** 90 000 **(1of)**	**(3)**

Type MS · Naming and describing the accounting concepts

Answer 12 of 12 · Question 2 part c · 2 marks

2023 JAN · Paper 02 · extract 2 of 3 · find part c in this mark scheme extract

Question number	Answer	Mark
2(b)	**Award marks as indicated with labels.**	(12)

Yamini
Income statement for the year ended 30 September 2022

	$	$	
Revenue		178 750	**(1of)**
Cost of sales			
Opening inventory	25 750		**(1)**
Purchases	90 000		**(1of)**
Closing inventory	(27 460)		**(1)**
		(88 290)	**(1)**
Gross profit		90 460	**(1of)**
Other income			
Interest received		110	**(1)**
		90 570	
Expenses			
Depreciation charge	8 000		**(1)**
Office expenses	26 350		**(1)**
Wages	33 500		**(1)**
		(67 850)	**(1of)**
Profit for the year		22 720	**(1of)**

Question number	Answer	Mark
2(c)	**Award marks as indicated up to a maximum of 2 marks.** Consistency **(1)** Prudence **(1)** Accruals/matching **(1)** Materiality **(1)** Money measurement **(1)** Business entity **(1)** **Accept any other appropriate responses.**	**(2)**

Type MS · Naming and describing the accounting concepts

Answer 12 of 12 · Question 2 part c · 2 marks

2023 JAN · Paper 02 · extract 3 of 3 · find part c in this mark scheme extract

Question number	Answer	Mark
2(d)	**Award up to 4 marks for discussion on both ratios and the final 1 mark for a conclusion related to the scenario.** **Sample answer.** The current ratio has increased in 2022 , meaning it will be able to pay short-term debts as they become due **(1)**. However, the business is not making efficient use of its current assets **(1)**. The liquid (acid test) ratio has worsened in 2022, meaning the business will have difficulty paying short-term debts without selling inventory **(1).** This could result in suppliers refusing to make further supplies to the business **(1)**. Therefore the business's short-term liquidity has worsened **(1)**. **Accept any other appropriate responses.**	**(5)**

(Total for Question 2 = 25 marks)